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Panasonic Holdings (6752) | Japan

Group Call with Management: AI Demand Spilling Over + Price Increases

Positive. Panasonic noted that AI demand is spilling over into adjacent industries. Price increases are being implemented to reflect both rising costs and higher value-added content.

Key Takeaways

- Panasonic expects to maintain its current share in BBUs for next-generation servers, while the addition of CBUs is generating interest from new customers.
- Demand for the MEGTRON multilayer PCB material is expanding into ATE.
- Panasonic holds ~80% share in POSCAP conductive polymer capacitors for SSD backup applications, and S/D conditions are tightening amid rising memory production.

On July 31, we attended a small group meeting with Panasonic Holdings' Group CFO Waniko, CEO Tadanobu of Panasonic Energy and CEO Ozawa of Panasonic Industry: Key comments from management, summarized based on our understanding, are as follows:

Energy: Panasonic has already begun limited mass production of its new high-capacity BBU (Battery Backup Unit) cells (>200W). The products have been adopted by a major GPU vendor and started ramping in June-July. Discussions with customers for next-generation server platforms are in the final stages, and the company expects to maintain its current market share of approximately 80%. As rack-level power consumption increases, the company sees scope for higher pricing commensurate with the added value provided.

The company is also close to securing awards for BBUs used in dedicated power racks. Since its mid-term revenue plan reflects only business already awarded, additional wins could provide upside to current forecasts.

CBUs (Capacitor Backup Units) are emerging as a new growth opportunity within IT racks. Panasonic is partnering with power-supply vendors and proposing integrated BBU+CBU solutions to hyperscalers. Rising power consumption of GPUs and ASICs is increasing the technological requirement for CBUs, and the company is receiving inquiries from U.S. and Chinese hyperscalers that were not previously customers.

Industry: MEGTRON multilayer PCB materials are seeing expanding adoption not only in motherboards and substrates but also in automatic test equipment, supported by strong demand from the leading ATE manufacturer.

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Japan Summer School 2026

Panasonic Holdings (6752.T, 6752 JT)

Consumer Electronics | Japan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	¥4,700
Up/downside to price target (%)	10
Shr price, close (Jul 31, 2026)	¥4,284
Mkt cap, curr, basic (bn)	¥10,001.9
Div yld (03/27e) (%)	1.4

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Revenue, net (¥bn)	8,048.7	8,247.5	8,638.9	9,059.2
Operating profit (¥bn)*	236.4	651.0	745.6	883.8
Net income (¥bn)*	189.5	485.5	559.6	671.4
EPS, basic (¥)*	81.2	208.0	239.7	287.6
Prior EPS, basic (¥)*	-	-	-	-
EPS (¥)**	81.2	207.9	239.7	287.5
Prior EPS (¥)**	-	-	-	-
P/E, basic*	31.8	20.6	17.9	14.9
P/BV, basic	1.2	1.8	1.7	1.6
ROE (%)*	4.0	9.3	10.1	11.3
EV/EBITDA, basic	8.7	8.5	7.6	6.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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While material costs are rising, Panasonic has successfully passed these increases through to customers. The company is expanding production capacity at five global sites and is evaluating further investment.

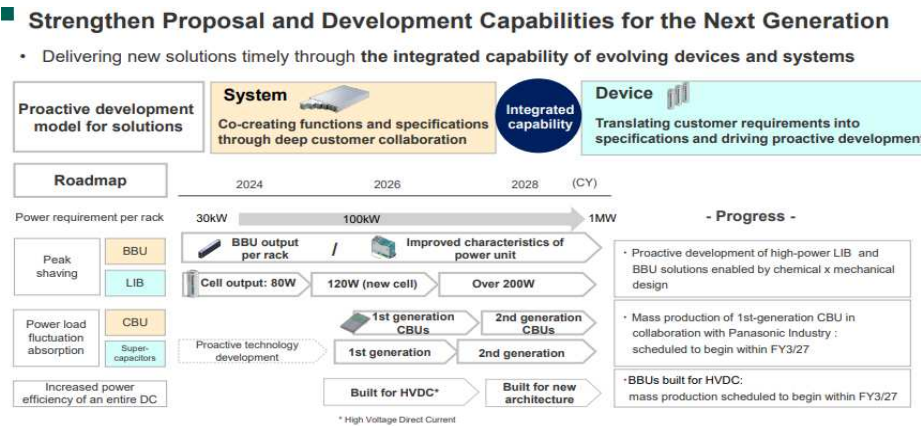
SP-Cap conductive polymer capacitors are widely used in semiconductor-related applications, while POSCAP holds roughly 80% market share in SSD backup applications. Demand is exceptionally strong as memory manufacturers increase production, resulting in tight supply/demand conditions. Cost inflation in materials such as tantalum has been offset through price increases. Some customers have requested long-term supply agreements (LTAs), and Panasonic is actively pursuing these discussions.

Within FA solutions, servo motors and sensors performed strongly in June quarter. While the business has historically been driven by computers, communications equipment, and consumer electronics, roughly half of the revenue growth from last fiscal year through management's current-year outlook is attributable to semi cap equipment. This application now accounts for around 30% of sales. Although FA demand is typically seasonal and management views June quarter as the peak quarter, the business is operating under unusual conditions, including an order backlog exceeding six months, suggesting limited downside after June quarter.

HVAC: Profit growth in June quarter was modest, partly because the prior-year period benefited from profits associated with a large, high-margin environmental engineering project. Management also acknowledged opportunities to improve pricing, promotional efficiency, and cost control, and intends to address these areas going forward.

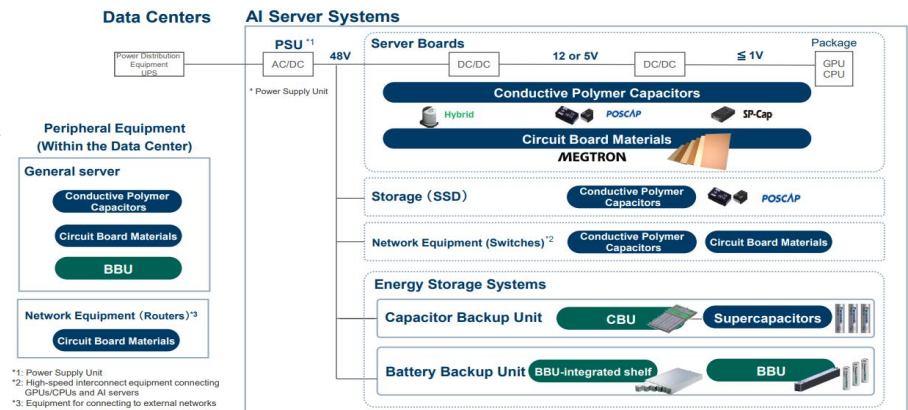
Electric Works: Adjusted operating profit nearly doubled YoY in June quarter, driven primarily by price increases rather than volume growth. While rising copper prices remain a concern, management believes it can offset higher costs through pricing while maintaining market share.

Exhibit 1: Panasonic Holdings: BBU/CBU roadmap



Source: Company presentation (June 2026 Investor Day)

Exhibit 2: Panasonic Holdings: Product Deployment Areas in AI Data Centers



Source: Company presentation (June quarter 2026 results)

Valuation Methodology and Risks

Panasonic Holdings (6752.T)

Our target price is based on P/E 19.5x our FY3/28 EPS forecast.

We apply: 36x to EPS generated by AI infrastructure-related businesses, 5x to EPS attributable to IRA subsidies in the automotive battery business, and 13.5x to EPS from all other businesses.

Risks to Upside

- Acceleration of restructuring and exit/scale-down of unprofitable businesses
- Stronger than expected growth of datacenter BBU, automotive battery business

Risks to Downside

- Deteriorating visibility for energy business
- Expectations for business portfolio revisions sink

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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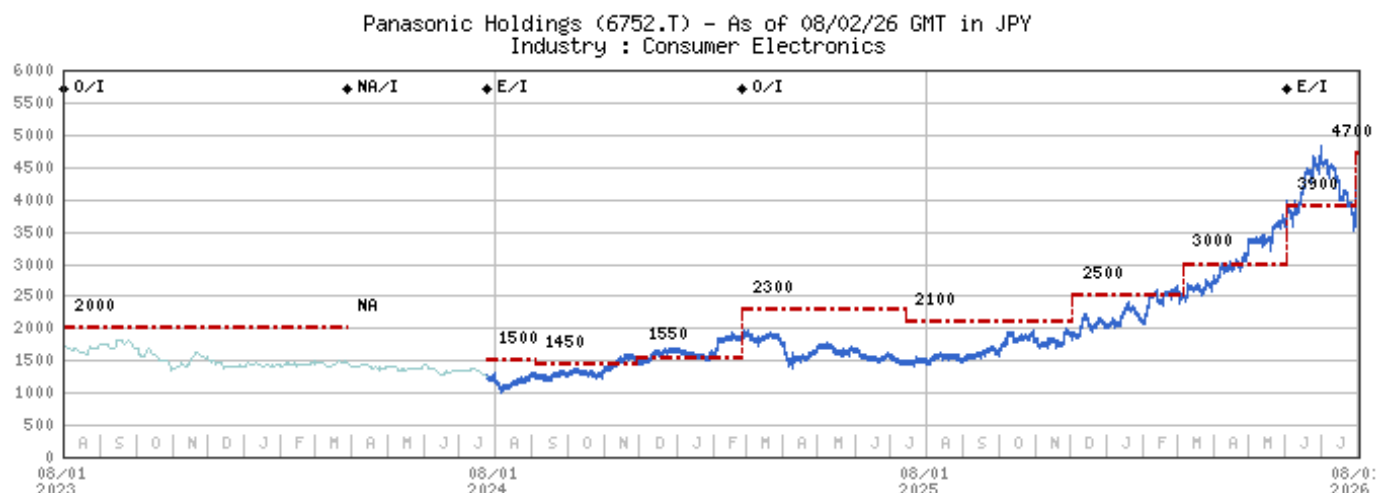
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Stock Rating History: 8/1/21 : 0/I; 3/29/24 : NA/I; 7/25/24 : E/I; 2/26/25 : 0/I; 6/3/26 : E/I

Price Target History: 2/3/21 : 1800; 9/22/21 : 1900; 3/1/22 : 1700; 6/13/22 : 1500; 12/1/22 : 1600; 2/20/23 : 1500; 6/7/23 : 2000; 3/29/24 : NA; 7/25/24 : 1500; 9/3/24 : 1450; 11/28/24 : 1550; 2/26/25 : 2300; 7/14/25 : 2100; 12/3/25 : 2500; 3/6/26 : 3000; 6/3/26 : 3900; 7/31/26 : 4700

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Kazuo Yoshikawa, CFA		
Nintendo (7974.T)	E (01/20/2025)	¥7,679
Panasonic Holdings (6752.T)	E (06/03/2026)	¥4,284
Sony Group (6758.T)	O (07/28/2021)	¥3,787

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.